

Euler and Lagrange showed that a column of a certain height would merely be compressed, but one of a greater height would bend under its own weight in any wind load, and then inescapably fall over rather than recover. In 1881, a scientist named Greenhill calculated how a tree-shaped column over a critical height relative to its width would be bent by its own weight. For a typical tree, this would impose a height limit of about three hundred feet. Rand McNally recently stated that the tallest tree ever found was a California redwood measuring 364 feet, quite satisfactorily close to Greenhill's calculation.

I find the fact that trees cannot grow to the sky, because of the effects of gravity on tall slender structures, a useful metaphor, suggesting a limit to the growth of most things, including corporations (also, investment funds, though I am afraid we fund managers cannot blame the force of gravity when our net asset values fall).

In 1990, when the absolute favorite of almost all growth stock investors was Wal-Mart, I took a good look at the stock—though not as a possible investment; it was far too expensive at that point for me. My chance had come earlier, when Wal-Mart was just starting up in Arkansas. A Chicago bank loan officer who specialized in the retail industry suggested I take a look at three discounters, two of them in Arkansas. And I did. Trouble is, neither of the two recommended Arkansas companies was Wal-Mart. They were Sterling Stores and United Dollar, both long bankrupt now. (The loan officer came to a bad end, too, but that's another story.)

By 1990 Wal-Mart had been growing at a 25-percent-